

Introduction

What makes some societies richer than others? Why do banks crash? How high should taxes be? These are questions that economists try to answer, but often disagree about. To the layman, economics can seem an obscure language – one filled with jargon and complicated mathematics. And economic news can be bewildering, as share prices soar and crash, and the economy lurches from crisis to crisis. In fact, underneath the specialist terminology, much economics comes down to some fairly simple principles. This book will give you a flavour of theories about how the economy works and how it should be managed.

What actually is economics? The term was used by the Ancient Greeks and comes from a Greek word meaning 'management of the household'. Nowadays, economics encompasses much more than this, but households and individuals have always been building blocks of the economy. People make decisions about what to buy with their incomes and how much to work. In doing this they encounter a basic economic fact of life: resources such as food, electricity or time are limited and choices have to be made about what to consume and what to produce. It is people who make these choices, so explanations of human behaviour are a central part of economics – what makes a consumer buy a new computer, a businessperson build a factory, and a worker accept a job in a far off city?

Most economists think of their subject as a science: they try to uncover general laws that govern economic phenomena, such as trends in unemployment – just as physicists look for laws that explain the acceleration of a rocket. But finding laws of human behaviour is much harder than explaining the path of a rocket. This is why economists disagree so much, for example on

whether the government should spend more money to pull the economy out of recession, or on the levels at which public debt is sustainable. This book demystifies the complex vocabulary in which these debates are conducted, boiling down economic concepts into accessible explanations that will hopefully make the important and influential ideas of economics easier to understand.